Note

The project profile may be tailored to suit the individual entrepreneurship qualities/capacity, production programme and also location characteristics, wherever applicable.

Raw Material cost per month = M

Utilities (power, water) cost per month = U

Other contingent expenses per month = E

(Contingent expenses include rent, postage and stationery, telephone/telex/fax, repair and maintenance, transport and conveyance, advertisement and publicity, insurance, taxes and miscellaneous other expenses)

Total recurring expenditure per month $= R + H + M + U + E = I$

Total capital investment.

Total fixed capital + Total recurring expenditure for three months

$= D + 3I$

$= T$

Financial analysis.

Cost of production (per annum)

= Total recurring expenditure per annum + Depreciation on plant and machinery @ 10 per cent + Depreciation on office equipment and furniture @ 20 per cent + Interest on total capital investment @ 14 per cent

$= 12I + 0.1A + 0.2B + 0.14T$

$= N$

Sales turnover per annum

= Item quantity (numbers) × Rate/Unit (Rs)

$= 54{,}000 \times Q = S$

Profit (per annum) before tax

$= S – N = P$

Net profit ratio = (Profit × 100)/Sales turnover = 100P/S

Rate of return = (Profit × 100)/Total capital Investment = 100P/T

Fixed cost (FC) per annum

= Rent per annum + Depreciation on production machinery and equipment @ 10 per cent + Depreciation on office equipment and furniture at 20 per cent + Interest on total capital investment @ 14 per cent + Insurance + 40 per cent of human resource costs including salary and wages + 40 per cent of other contingencies

Breakeven point (BEP) = [FC/(FC + Profit)] × 100 EFY

References

1. http://www.circuitstoday.com/pcb-manufacturing-process#Assembling
2. http://www.madehow.com/Volume-2/Printed-Circuit-Board.html
3. https://www.pcbcart.com/article/content/PCB-manufacturing-process.html
4. http://www.circuitstoday.com/pcb-manufacturing-process
5. http://www.dcmsme.gov.in/reports/electronic/eleccomponentonpcb.pdf
6. http://www.allpcb.com/PCB_raw_materials.html
7. https://nextwhatbusiness.com